

Staff Loan Policy

Document and Version History

#	Version	Release Date	Description of Change	Created/Modified by	Approved by
1	1.0	02-08-2022	Initial	Finance Team	Gayathri V
2	2.0	16-09-2025	Initial	HR Team	Murali

Introduction and Objective

To provide employees with financial assistance in certain emergency situations when a salary advance is not sufficient to cover the emergency financial requirements of an employee

Applicability

This policy applies to all permanent employees of Ideas2IT and will be effective from 1st September 2025. It covers the provision of staff loans and salary advances during their employment with the company.

Policy Guidelines

Eligibility Criteria:

- Loans will be granted to all employees whose employment has been confirmed and completed by a minimum of one year as of the date of the loan application.
- A new loan will be sanctioned only after 100% repayment of the previous loan, and there must be a 6-month gap before availing of the next loan. Besides, employees can avail up to a maximum of only 1 loan within a financial year.
- Loans will be granted in the following instances and at the sole discretion of the management.
 - Medical Emergencies for (Self & Immediate family members)
 - Child Education

Loan Disbursement & Repayment Details

- The maximum eligible loan amount shall be INR 2 Lakhs and will be decided at the sole discretion of the management.
- Employees with a CTC above ₹20 lakhs will not be eligible.
- Loan recovery will be a maximum period of 12 EMIs (12 months). This will be intimated to the employee at the time of approval. Any installments that are greater than 12 months shall attract an interest at the rate of **11.30%**, which will be deducted from the salary along with the EMI, and the employee has to sign the promissory note in view of the statutory requirements. The interest rate shall be reviewed by the finance team every quarter, depending on the changes in the bank rates.
- The repayment will be made by deducting the EMIs from the salary every month subsequently. For instance, if the loan is disbursed on Month 1, the deduction will start from the same month.

- Cooling period for repayment of the loan can be provided to a maximum of 3 months, provided the repayment of the loan happens within 12 months from the date of disbursement.
- The employees can close the loan by paying the entire outstanding at any time during the tenure. In case an employee decides to leave the organization, the entire outstanding amount will become due immediately, and the balance amount will be adjusted towards the full and final settlement, or else the employee shall return the entire due amount one month before the last working day to receive the “No Due Certificate”, Relieving Letter, and Experience Certificate from the Company
- The employee shall give an undertaking to the Company that in case of his death/ in lieu of his leaving the service of the organization, the Company will be free to deduct his balance loan amount not only from his dues like salary/ any reimbursement including incentive, commission, performance bonus but also from his statutory dues like bonus, gratuity etc., or the employee must issue a cheque in favour of the Company.
- Relieving letter and formalities of clearance will not be completed unless all such dues are settled.
- All taxes as per the Government Law will be applicable and will have to be borne by the employee, including a perquisite tax, if applicable.

Process of Availing Staff Loan

- The employee will have to fill in the Loan Requisition Form and draft an mail to the HR department with the necessary details.
- HR Dept will check his/her entitlement, and the same will be forwarded to Management for their approval
- Post approval from Management, the HR Dept will forward the loan request to the Finance Department for processing.

General Guideline for Staff Loan

- Management reserves the right to conduct the necessary due diligence before sanctioning any staff loan. The loan will be approved at the sole discretion of the management, and they reserve the right of denial based on the outcome of the due diligence, company status, etc.
- In case of any defaults in repayment of loans, management reserves the right to take legal action against the borrower.

Disclaimer:

The applicability, eligibility, and exceptions of the staff loan policy may be implemented and/or changed from time to time at the sole discretion of Ideas2IT management, and such implemented and/or changes shall become applicable to the employees immediately, upon receipt of notice of the same.